

Needs Analysis Review

FINANCIAL SECURITY | PRESERVING FREEDOM OF CHOICE



PLANNING YOUR ESTATE | PROTECTING YOUR HEALTH

American Senior Benefits Confidential Needs Analysis

Prepared by: _____

Date: _____

Name _____ DOB _____
Employer: _____ Position _____
What hobbies and activities you participate in? _____

Spouse _____ DOB _____
Employer: _____ Position _____
What hobbies and activities you participate in? _____

Address: _____
City: _____ Zip: _____
Phone: _____
Email: _____
Other Properties Owned: _____

Health Insurance

Current Program

☐ Medicare Supplement ☐ Group Coverage
☐ Medicare Adv. Plan HMO PPO PFFS
☐ None

Current Co. _____ Plan _____

Premium _____ Mode _____

Do you have any restrictions on which providers you can use? _____

If yes, how do you feel about this? _____

☐ Medicare Part D Rx Co _____ Premium _____

Medicare Eligibility Date Part A _____ Part B _____

Other: Dental, Vision, Cancer, Hospital, etc.

Company _____ Benefit _____

Type _____ Premium _____

Long Term Care-Home Health Care-Hospital Indemnity

Company _____ Premium _____

Daily Benefit _____ Benefit Period _____

Inflation Simple _____ Compounded _____ Issue Date _____

Purpose for this coverage? _____

Spouse

☐ Medicare Supplement ☐ Group Coverage
☐ Medicare Adv. Plan HMO PPO PFFS
☐ None

Current Co. _____ Plan _____

Premium _____ Mode _____

Do you have any restrictions on which providers you can use? _____

If yes, how do you feel about this? _____

☐ Medicare Part D Rx Co _____ Premium _____

Medicare Eligibility Date Part A _____ Part B _____

Other: Dental, Vision, Cancer, Hospital, etc.

Company _____ Benefit _____

Type _____ Premium _____

Long Term Care-Home Health Care-Hospital Indemnity

Company _____ Premium _____

Daily Benefit _____ Benefit Period _____

Inflation Simple _____ Compounded _____ Issue Date _____

Purpose for this coverage? _____

Medical History

Surgeries: _____

Hospital Stays: _____

Other Health History: _____

Surgeries: _____

Hospital Stays: _____

Other Health History: _____

Current Medications

Name	Reason	Dose

Current Medications

Name	Reason	Dose

Asset Protection

Are you familiar with how your Medicare Supplement pays for Nursing Home/ Home Health Care? If not, explain.

Where would you prefer to recuperate? ☐ Home ☐ Nursing Home ☐ Family ☐ Other _____

Do you know anyone that has needed special health care either in a nursing home or at home?

What happened to them? _____

How were they affected financially or emotionally? _____

Do you know anyone who had to spend all of their assets and as a result had to enroll in a Medicaid Program? _____

What conversations have you had with your children/family members concerning your care if and when the time comes? _____

Do you feel that you and your family have adequately prepared for long term care should the need arise? _____

What are your plans for your life insurance?

Why did you purchase your most recent life insurance? _____

Have you done funeral pre-planning or made other arrangements for your final expenses?

If (either of) you died tomorrow, how much life insurance would your family need? _____

How much monthly income would your spouse/family need? _____

Do you desire to leave a gift to your grandchildren, children, charity, or church? _____

When was the last time that you did a thorough review of your Life Insurance Policy? _____

Do you have a will or a trust? _____ Last reviewed _____

Many people wonder if they have too much life insurance or not enough. Would you be interested in going over your life insurance needs? _____

Life Insurance

Do you currently own any life insurance?

Company	Type	Face Amount	Beneficiary	Cash Value	Loans?	Premium	Date Issue (Remaining years if term)
_____	_____	\$ _____	_____	\$ _____	\$ _____	\$ _____	_____
_____	_____	\$ _____	_____	\$ _____	\$ _____	\$ _____	_____
_____	_____	\$ _____	_____	\$ _____	\$ _____	\$ _____	_____
Totals		\$ _____	_____	\$ _____	\$ _____	\$ _____	_____

Spouse

Company	Type	Face Amount	Beneficiary	Cash Value	Loans?	Premium	Date Issue (Remaining years if term)
_____	_____	\$ _____	_____	\$ _____	\$ _____	\$ _____	_____
_____	_____	\$ _____	_____	\$ _____	\$ _____	\$ _____	_____
_____	_____	\$ _____	_____	\$ _____	\$ _____	\$ _____	_____
Totals		\$ _____	_____	\$ _____	\$ _____	\$ _____	_____

Types: T (Term) WL (Whole Life) UL (Universal Life) IL (Indexed Life) VUL (Variable Universal Life)

Client's Needs

Income Continuation

You want the people that rely on you to maintain their lifestyle. The income continuation feature on your life insurance program should insure that.

Estimate what you will need

1. What is your family's desired monthly income, knowing that your mortgage, education fund, personal debt and other expenses will be paid immediately? (between 50 and 80 percent of total income is suggested)

\$ _____

2. What monthly income would your family receive from other sources? (spouse's income, Social Security may be available, other income sources)

\$ _____

3. Calculate the income to be replaced by subtracting the monthly amount in Step 2 from the income desired in Step 1.

\$ _____

4. Use the formula below to determine the amount of coverage you need for your desired monthly income in Step 3.

\$ _____

Total needed for income continuation

\$ _____

Monthly Income * 12 divided by i = Life Insurance

You take the Monthly Income Times 12 to get to the Annual Gross Income, divide by the interest rate of 5% if proposed insured is over 60 (this is the approximated Living Benefit Guarantee inside of an Annuity) if younger than 60, 2-3%.

Mortgage Fund

Your home is likely your largest asset. A well-tailored mortgage fund can guarantee that your family can stay in their home.

Total needed to pay off the balance of your mortgage \$ _____

Immediate Cash Needs for Liabilities

A comprehensive life insurance program assures that your family will not suffer unforeseen economic consequences when you die. You want to know they are taken care of. So your program should provide a fund to cover personal debts, emergency reserve fund, and other expenses.

Estimate your liabilities:

1. Amount required to pay off personal debts (credit cards, personal loans, tuition loans, car loans, etc.)

\$ _____

2. Emergency reserve fund (extraordinary medical expenses, a reserve for emergency and unexpected expenses, 5%-10% of annual income is suggested)

\$ _____

3. Other expenses (typically the greater of \$15,000 or 4% of your total estate and includes income taxes, probate fees, lawyers' commissions and fees, accounting fees, funeral costs)

\$ _____

Total immediate cash needed at death \$ _____

Education Fund

Parents know their children can pay a price for not having a sound education. Using life insurance as a tool, you can provide for education funds, even in the event of your death.

Rising costs have made it more important than ever to build an education fund. Over the past decade, costs have increased an average of five to six percent annually.

Your net price is a college's sticker price for tuition and fees minus the grants, scholarships, and education tax benefits you receive. The net price you pay for a particular college is specific to you because it's based on your personal circumstances and the college's financial aid policies.

The net price, on average, is considerably lower than the published price. For example, the average published in-state price for tuition and fees for four-year public colleges is \$9,410 per year. But the average net price — what the average family really pays — is just \$3,980 per year. For private nonprofit four-year colleges, the average published price is \$32,410 per year, but the average family pays just \$14,890 annually

Actual college cost comparison go to: bigfuture.collegeboard.org/compare-colleges

Costs based on Annual Survey of Colleges 2017-18, The College Board, 2017.

Total needed for Education Fund \$ _____

	Solutions for Client's Needs	Spouse's Needs
1. Total needed for income continuation (see formula below if necessary)	\$ _____	\$ _____
2. Total needed for mortgage balance	\$ _____	\$ _____
3. Total immediate cash needed at death	\$ _____	\$ _____
4. Total needed for education fund	\$ _____	\$ _____
Total Amount of Life Insurance Needed	\$ _____	\$ _____
Less		
Existing insurance (personal and group)	\$ _____	\$ _____
Other liquid assets (mutual funds, stocks, CDs, savings, etc.)	\$ _____	\$ _____
Amount of Additional Life Insurance Needed	\$ _____	\$ _____
How much can you set aside each month to satisfy all these needs?	\$ _____	\$ _____

Agreed amount * Number of years until child reaches college = Amount needed for income continuation for stay-at-home parent

There's little research on the value of the stay-at-home parent. In its 2016 Mom Salary Survey, Salary.com reported the most common functions performed by mothers would translate to a \$48,509 base salary and \$94,593 in overtime, for a total of \$143,102.

Once you determine the number, take the agreed upon dollar amount times the number of years until the youngest child reaches college age.

Income/Expenses

Some services are income-based and some are asset-based. In order to know which benefits are best, I need to have a clear understanding of your income and assets.

Are you still paying income taxes? _____

How important is it to try and lower income taxes? _____

Many people have concerns about outliving their income. How do you feel about this? _____

Most people are concern with safety, taxes, inflation and being able to pass money to their heirs tax-free and/or hassle free. Do you share any of these concerns? _____

Why? _____

Monthly Income	Wages	Soc Sec	Pension	IRA Dist.	Other Income	Total Income	If survivor?
Client 1	\$ _____	\$ _____	\$ _____	\$ _____	\$ _____	\$ _____	\$ _____
Client 2	\$ _____	\$ _____	\$ _____	\$ _____	\$ _____	\$ _____	\$ _____

Household monthly income total \$ _____

Do you usually have any funds left over when you are done paying all the bills? _____

If no, how are you covering the monthly bills and are you pulling funds from nest eggs/retirement fund or savings? _____

If yes, how much are you saving each month? \$ _____

Roughly how much do you think you have left over after all the bills are paid each month? \$ _____ (Subtract this number from the monthly income number and you have a ballpark figure for the monthly expenses.)

Monthly expenses \$ _____

Do you have a mortgage? _____

How much is it? \$ _____

Do you desire your mortgage to be paid upon death? _____

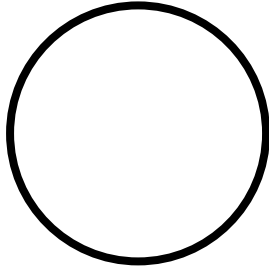
Do you have other debt? _____

Total debt \$ _____

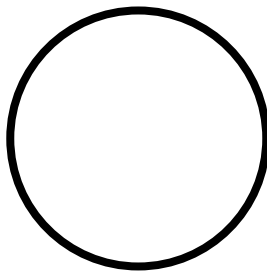
Notes:

The Three Circles

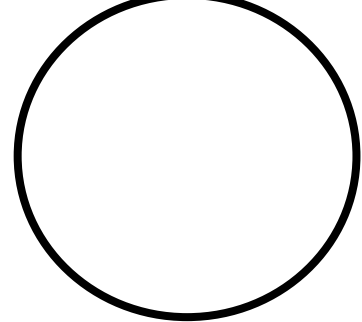
Cash Flow



Emergency Fund



Nest Egg



Retirement/Nest Egg

Client 1	Account Value	Institution Held	Client 2	Account Value	Institution Held
Qualified Plans	_____	_____	Qualified Plans	_____	_____
IRA	_____	_____	IRA	_____	_____
Mutual Funds	_____	_____	Mutual Funds	_____	_____
Annuities	_____	_____	Annuities	_____	_____
Stocks	_____	_____	Stocks	_____	_____
Bonds	_____	_____	Bonds	_____	_____
Other	_____	_____	Other	_____	_____

What are the goals for the funds that you have set aside? _____

Have you started taking distributions from your IRA or Qualified Plans? _____ How much? _____

Are you expecting any inheritance? _____

Notes:

Liquid Assets/Cash Flow

Checking #1 _____
 Checking #2 _____
 Savings #1 _____
 Savings #2 _____

Notes:

Emergency Fund/Reserve

Money Market _____

CD's	Amount	Mat Date	Bank
_____	_____	_____	_____
_____	_____	_____	_____

Recommendations...

Client Signature _____
Date _____

Client Signature _____
Date _____

CONFIDENTIAL NEEDS ANALYSIS

"Value Finding"

Name _____

Spouse's Name _____

Address _____

Phone (Home) _____ Phone (Mobile) _____

I. Personal Concerns

- | | |
|--|--------------------------------------|
| 1. Are you concerned that you might run out of money? | CHECK One
Yes or No |
| 2. Are you concerned about how your money is invested? | Yes or No |
| 3. Do you expect to care for a child or a parent? | Yes or No |
| 4. Are you concerned how the estate laws may affect you? | Yes or No |
| 5. Do you want to reduce your Social Security Taxation? | Yes or No |
| 6. Is lifestyle important to maintain for your spouse? | Yes or No |
| 7. Are you concerned "how to figure out how much you need for retirement"? | Yes or No |

II. Personal Questions

- | | |
|---|--------------------------------------|
| 1. Do you have income from retirement account(s)? | CHECK One
Yes or No |
| 2. Do you have income from real estate? | Yes or No |
| 3. Do you have a distribution plan? | Yes or No |
| 4. Do you have a will? | Yes or No |
| 5. Do you have a living trust? | Yes or No |
| 6. Do you have an Irrevocable Grantor Trust? | Yes or No |
| 7. Do you expect an inheritance? | Yes or No |

III. Financial Planning Objectives

Rank the following according to your level of concern.

(Please circle the most appropriate number.)

Not Concerned (1) - Very Concerned (10)

Increasing current Income	1	2	3	4	5	6	7	8	9	10
Maximum growth	1	2	3	4	5	6	7	8	9	10
Combined growth & Income	1	2	3	4	5	6	7	8	9	10
Reducing current income taxes	1	2	3	4	5	6	7	8	9	10
Desire for professional management	1	2	3	4	5	6	7	8	9	10
Estate Planning	1	2	3	4	5	6	7	8	9	10
Planning for children or grandchildren	1	2	3	4	5	6	7	8	9	10
Protecting Assets against possible Long Term Care Needs	1	2	3	4	5	6	7	8	9	10
Safety of Principal	1	2	3	4	5	6	7	8	9	10

Initials _____ Date _____

Initials _____ Date _____

Value Finding

CONFIDENTIAL

IV. Source of Monthly Retirement Income

Social Security

You \$ _____
Spouse \$ _____

Pension

You \$ _____
Spouse \$ _____

Qualified Funds **CHECK** IRA SEP 403b TSA 457 Other

You \$ _____
Spouse \$ _____

Bond Income

You \$ _____
Spouse \$ _____

Other Income

You \$ _____
Spouse \$ _____

Do you need additional income? **CHECK** Yes or No

If Yes, **CHECK** Now 1-10 Years 10 Years Plus

V. Homework

Please bring the following documents:

1. All life insurance & annuity policies
2. All IRA & retirement statements
3. All brokerage firm statements
4. Last year's tax return

Signature

Date

Signature

Date